



GEST-S2001 – Exercise Session 3

ES 2b. Cash flows + Working Capital Requirement (WCR)

2025-2026

Exercise 2.4

At the end of 2022, Einstein SRL presents the following balance sheet:

Simplified BS - 31/12/2022			
38,000 €	ASSET	LIABILITY	38,000 €
	FE	CAP	20,000 €
		RS	
		RES	
12,000 €	FA	RE	
		SUBS	
		PRDT	10,000 €
	FinA	LTD	3,000 €
6,000 €	INV		
10,000 €	AR	AP	5,000 €
	Acc (A)	Acc(L)	
	INVST		
10,000 €	CASH		

Assumption: no VAT

Exercise 2.4

In 2023, the company performs the following operations:

1. On 01/01, Einstein SRL receives a cash contribution from shareholders amounting to 5,000 €.

Exercise 2.4

- Cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	+5,000	+5,000
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	0	0	0	+5,000	+5,000

BALANCE SHEET			
43,000 €	ASSET	LIABILITY	43,000 €
12,000 €	FE	CAP	25,000 €
	FA	RS	
		RES	
		RE	
		SUBS	
6,000 €			PRDT
	FinA	LTD	3,000 €
	INV		
	AR	AP	5,000 €
	Acc(A)	Acc(L)	
10,000 €	INVST		
15,000 €	CASH		

INCOME STATEMENT			
0 €	EXPENSES	INCOME	0 €
	OpExp	OpInc	
	EBIT 0 €		
	FinExp	FinInc	
	EBT 0 €		
	TAX	TAX	
	Profit/Loss 0 €		

Exercise 2.4

2. On 01/04, the company purchases a machine for cash for 10,000 €. The depreciation period of this machine is 5 years.

Exercise 2.4

- Cash flows

Timing	CF _{op}	CF _{inv}	FCF	CF _{fin}	Δ CASH
	(1)	(2)	(3) = (1) + (2)	(4)	(5) = (3) + (4)
Direct impact: at accounting entry	0	-10,000	-10,000	0	-10,000
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	0	-10,000	-10,000	0	-10,000

BALANCE SHEET			
43,000 €	ASSET	LIABILITY	43,000 €
22,000 €	FE	CAP	25,000 €
		RS	
		RES	
	FA	RE	
		SUBS	
		PRDT	10,000 €
	FinA	LTD	3,000 €
6,000 €	INV		
10,000 €	AR	AP	5,000 €
	Acc(A)	Acc(L)	
	INVST		
5,000 €	CASH		

INCOME STATEMENT			
0 €	EXPENSES	INCOME	0 €
	OpExp	OpInc	
	EBIT 0 €		
	FinExp	FinInc	
	EBT 0 €		
	TAX	TAX	
	Profit/Loss 0 €		

Exercise 2.4

3. On 01/06, Einstein SRL takes out a bank loan of 12,000 €. The loan is repayable in constant annuities, at maturity, over 6 years. The bank grants a 0% interest rate.

Exercise 2.4

- Cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	+12,000	+12,000
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	0	0	0	+12,000	+12,000

BALANCE SHEET			
55,000 €	ASSET	LIABILITY	55,000 €
22,000 €	FE	CAP	25,000 €
	FA	RS	
		RES	
		RE	
		SUBS	
6,000 €			PRDT
	FinA	LTD	15,000 €
	INV		
	AR	AP	5,000 €
	Acc(A)	Acc(L)	
10,000 €	INVST		
17,000 €	CASH		

INCOME STATEMENT			
0 €	EXPENSES	INCOME	0 €
	OpExp	OpInc	
	EBIT 0 €		
	FinExp	FinInc	
	EBT 0 €		
	TAX	TAX	
	Profit/Loss 0 €		

Exercise 2.4

4. On 25/06, the company purchases goods for 8,000 €. Half is paid immediately in cash, the other half later.

Exercise 2.4

- Cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	-4,000	0	-4,000	0	-4,000
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	-4,000	0	-4,000	0	-4,000

BALANCE SHEET			
51,000 €	ASSET	LIABILITY	59,000 €
22,000 €	FE	CAP	25,000 €
		RS	
		RES	
	FA	RE	
		SUBS	
6,000 €	FinA	PRDT	10,000 €
	INV	LTD	15,000 €
	AR	AP	9,000 €
10,000 €	Acc(A)	Acc(L)	
	INVST		
13,000 €	CASH		

INCOME STATEMENT			
8.000 €	EXPENSES	INCOME	0 €
8.000 €	OpExp	OpInc	
	EBIT -8.000 €		
	FinExp	FinInc	
	EBT -8.000 €		
	TAX	TAX	
	Profit/Loss -8.000 €		

Exercise 2.4

5. On 01/12, Einstein SRL resells on credit the goods purchased in June for 12,000 €.

Exercise 2.4

- Cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	0	0	0	0	0

BALANCE SHEET			
63,000 €	ASSET	LIABILITY	59,000 €
	FE	CAP	25,000 €
		RS	
		RES	
22,000 €	FA	RE	
		SUBS	
		PRDT	10,000 €
	FinA	LTD	15,000 €
6,000 €	INV		
22,000 €	AR	AP	9,000 €
	Acc(A)	Acc(L)	
	INVST		
13,000 €	CASH		

INCOME STATEMENT			
8,000 €	EXPENSES	INCOME	12,000 €
8,000 €	OpExp	OpInc	12,000 €
	EBIT 4,000 €		
	FinExp	FinInc	
	EBT 4,000 €		
	TAX	TAX	
	Profit/Loss 4,000 €		

Exercise 2.4

6. On 31/12, the company records closing entries and depreciates the building and the machine purchased in April.

Exercise 2.4

- Cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	0	0	0	0	0

- Depreciations:
 - the building (opening balance) by 3,000 €
 - the machine purchased in April: $10,000 \times 1/5 \times 9/12 = 1,500$ €

BALANCE SHEET			
58,500 €	ASSET	LIABILITY	59,000 €
	FE	CAP	25,000 €
		RS	
		RES	
17,500 €	FA	RE	
		SUBS	
		PRDT	10,000 €
	FinA	LTD	15,000 €
6,000 €	INV		
22,000 €	AR	AP	9,000 €
	Acc(A)	Acc(L)	
	INVST		
13,000 €	CASH		

INCOME STATEMENT			
12,500 €	EXPENSES	INCOME	12,000 €
12,500 €	OpExp	OpInc	12,000 €
	EBIT 500 €		
	FinExp	FinInc	
	EBT 500 €		
	TAX	TAX	
	Profit/Loss -500 €		

Exercise 2.4 – 1) Direct method- TOTAL

Timing	(1) CFop	(2) CFinv	(1)+(2) FCF	(3) CFfin	(1)+(2)+(3) Δ CASH
Operation #1	0	0	0	+5,000	+5,000
Operation #2	0	-10,000	-10,000	0	-10,000
Operation #3	0	0	0	+12,000	+12,000
Operation #4	-4,000	0	-4,000	0	-4,000
Operation #5	0	0	0	0	0
Operation #6	0	0	0	0	0
YEARLY TOTAL	-4,000 €	-10,000 €	-14,000 €	+17,000 €	+3,000 €

- Balance sheets BoY and EoY

BALANCE SHEET			
38,000 €	ASSET	LIABILITY	38,000 €
	FE	CAP	20,000 €
		RS	
		RES	
12,000 €	FA	RE	
		SUBS	
		PRDT	10,000 €
	FinA	LTD	3,000 €
6,000 €	INV		
10,000 €	AR	AP	5,000 €
	Acc(A)	Acc(L)	
	INVST		
10,000 €	CASH		

BALANCE SHEET			
58,500 €	ASSET	LIABILITY	59,000 €
	FE	CAP	25,000 €
		RS	
		RES	
17,500 €	FA	RE	
		SUBS	
		PRDT	10,000 €
	FinA	LTD	15,000 €
6,000 €	INV		
22,000 €	AR	AP	9,000 €
	Acc(A)	Acc(L)	
	INVST		
13,000 €	CASH		

Exercise 2.4 – Beginning and end of year data

BALANCE SHEET - 31/12/2022			
38,000 €	ASSET	LIABILITY	38,000 €
	FE	CAP	20,000 €
		RS	
		RES	
12,000 €	FA	RE	
		SUBS	
		PRDT	10,000 €
	FinA	LTD	3,000 €
6,000 €	INV		
10,000 €	AR	AP	5,000 €
	Acc(A)	Acc(L)	
	INVST		
10,000 €	CASH		

BALANCE SHEET - 31/12/2023			
58,500 €	ASSET	LIABILITY	59,000 €
	FE	CAP	25,000 €
		RS	
		RES	
17,500 €	FA	RE	
		SUBS	
		PRDT	10,000 €
	FinA	LTD	15,000 €
6,000 €	INV		
22,000 €	AR	AP	9,000 €
	Acc(A)	Acc(L)	
	INVST		
13,000 €	CASH		

INCOME STATEMENT			
12,500 €	EXPENSES	INCOME	12,000 €
12,500 €	OpExp	OpInc	12,000 €
	EBIT 500 €		
	FinExp	FinInc	
	EBT 500 €		
	TAX	TAX	
	Profit/Loss 500 €		

- With depreciations = 4,500 €

Exercise 2.4 – 2) WCR

- **$WCR = INV + AR - AP + Acc(A) - Acc(L)$**
- 31/12/2022 : $WCR = 6,000 + 10,000 - 5,000 + 0 - 0 = 11,000 \text{ €}$
- 31/12/2023 : $WCR = 6,000 + 22,000 - 9,000 + 0 - 0 = 19,000 \text{ €}$
- Delta WCR over the year : $\Delta WCR = 19,000 - 11,000 = 8,000 \text{ €}$
- Increase of the WCR $\rightarrow$ negative impact on operating cash flow

Exercise 2.4 – 3) CF statement (indirect method)

Operating CF (CF op) =	- 4,000€
Net profit	-500
+ Δ PROV	+ 0
- Δ WCR	- 8,000
+ Depreciation _{FA}	+ 4,500
 Investment CF (CF inv) =	 - 10,000 €
- Δ (FE + FA)	- 5,500
- Depreciation _{FA}	- 4,500
 Financing CF (CF fin) =	 + 17,000 €
Δ CAP	+ 5,000
+ Δ Debts - Δ Financials credits	+ 12,000
 CF op + CF inv + CF fin =	 3,000 €

Exercise 2.4 – 4) Verification

- **CF op + CF inv + CF fin = Δ CASH**
- CF op+ CF inv + CF fin = 3,000 € (cf CF statement)
- $\Delta \text{ CASH} = \text{CASH (31/12/2023)} - \text{CASH (31/12/2022)} = 13,000 - 10,000 = 3,000 \text{ €}$ (cf balance sheets BoY and EoY)
- OK

Exercise 2.5

Take all operations from Exercise 1.3 for Gigi SRL in 2023:

1. For each operation, identify the cash flow impacts (“direct method”).
2. Calculate the change in WCR at year-end.
3. Prepare the Cash Flow Statement (“indirect method”), distinguishing operating, investing and financing cash flows.
4. Check your answer.

Exercise 1.3 – Operation #0

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-01-2023	221.0		Building: Acquisition value	200,000	
	400		Customers	20,000	
	550.0		Credit institution: Current account	30,000	
		221.9	Buildings : Depreciation recorded		45,000
		110	Contribution excluding capital		150,000
		14	Profit Result brought forward		45,000
		440	Suppliers		10,000

- BS and IS after operation

BALANCE SHEET			
205,000 €	ASSET	LIABILITY	205,000 €
	FE	CAP	150,000 €
		RS	
		RES	
155,000 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	
20,000 €	INV	AP	10,000 €
	AR	Acc(L)	
	Acc (A)		
	INVST		
30,000 €	CASH		

INCOME STATEMENT			
0 €	EXPENSES	INCOME	0 €
	OpExp	OpInc	
	EBIT		
	0 €		
	FinExp	FinInc	
	EBT		
	0 €		
	TAX	TAX	
	Profit/Loss		
	0 €		

Exercise 1.3 – Operation #0

- Cash flows

Timing	CF _{op}	CF _{inv}	FCF	CF _{fin}	Δ CASH
	(1)	(2)	(3) = (1) + (2)	(4)	(5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	0	0	0	0	0

Exercise 1.3 – Operation #0

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) = **0 €**

Net profit + 0

+ Δ PROV + 0

– Δ WCR – 0

+ Depreciation_{FA} + 0

Investment CF (CF inv) = **0 €**

– Δ (FE + FA) – 0

– Depreciation_{FA} – 0

Financing CF (CF fin) = **0 €**

Δ CAP 0

+ Δ Debts – Δ Financials credits + 0

CF op + CF inv + CF fin = **0 €**

Exercise 1.3 – Operation #1

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
02-01-2023	550.0		Credit institution: current account	35,000	
		1730	Credit institution: Current account payable		35,000

- Cash flows

Timing	CF _{op}	CF _{inv}	FCF	CF _{fin}	Δ CASH
	(1)	(2)	(3) = (1) + (2)	(4)	(5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	+35,000	+35,000
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement					
					By assumption, there is no corporate tax
Total impact	0	0	0	+35,000	+35,000

- BS and IS after operation

BALANCE SHEET			
240,000 €	ASSET	LIABILITY	240,000 €
	FE	CAP	150,000 €
		RS	
		RES	
155,000 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	35,000 €
	INV		
20,000 €	AR	AP	10,000 €
	Acc (A)	Acc(L)	
	INVST		
65,000 €	CASH		

INCOME STATEMENT			
0 €	EXPENSES	INCOME	0 €
	OpExp	OpInc	
		EBIT	
		0 €	
	FinExp	FinInc	
		EBT	
		0 €	
	TAX	TAX	
		Profit/Loss	
		0 €	

Exercise 1.3 – Operation #1

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) =	0 €
Net profit	+ 0
+ Δ PROV	+ 0
– Δ WCR	– 0
+ Depreciation _{FA}	+ 0
Investment CF (CF inv) =	0 €
– Δ (FE + FA)	– 0
– Depreciation _{FA}	– 0
Financing CF (CF fin) =	+35,000 €
Δ CAP	0
+ Δ Debts – Δ Financials credits	+ 35,000
CF op + CF inv + CF fin =	+35,000 €

Exercise 1.3 – Operation #2

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-02-2023	400		Customers	48,400	
		700	Sales and services rendered		40,000
		451	VAT payable		8,400

- BS and IS after operation

BALANCE SHEET			
288,400 €	ASSET	LIABILITY	248,400 €
	FE	CAP	150,000 €
		RS	
		RES	
155,000 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	35,000 €
	INV		
68,400 €	AR	AP	18,400 €
	Acc (A)	Acc(L)	
	INVST		
65,000 €	CASH		

INCOME STATEMENT			
0 €	EXPENSES	INCOME	40,000 €
	OpExp	OpInc	40,000 €
	EBIT		
	40,000 €		
	FinExp	FinInc	
	EBT		
	40,000 €		
	TAX	TAX	
	Profit/Loss		
	40,000 €		

Exercise 1.3 – Operation #2

- Cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	-8,400	0	-8,400	0	-8,400
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	-8,400	0	-8,400	0	-8,400

Exercise 1.3 – Operation #2

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) =	0 €
Net profit	+ 40,000
+ Δ PROV	+ 0
– Δ WCR	– (48,400 – 8,400) = – 40,000
+ Depreciation _{FA}	+ 0
Investment CF (CF inv) =	0 €
– Δ (FE + FA)	– 0
– Depreciation _{FA}	– 0
Financing CF (CF fin) =	0 €
Δ CAP	0
+ Δ Debts – Δ Financials credits	+ 0
CF op + CF inv + CF fin =	0 €

Exercise 1.3 – Operation #3

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
15-02-2023	61		Services and other goods	3,000	
	411		VAT receivable	630	
		440	Suppliers		3,630
	440		Suppliers	3,630	
		550.0	Credit institution: current account		3,630

- BS and IS after operation

BALANCE SHEET			
285,400 €	ASSET	LIABILITY	248,400 €
	FE	CAP	150,000 €
		RS	
		RES	
155,000 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	35,000 €
	INV		
69,030 €	AR	AP	18,400 €
	Acc (A)	Acc(L)	
	INVST		
61,370 €	CASH		

INCOME STATEMENT			
3,000 €	EXPENSES	INCOME	40,000 €
3,000 €	OpExp	OpInc	40,000 €
	EBIT		
	37,000 €		
	FinExp	FinInc	
	EBT		
	37,000 €		
	TAX	TAX	
	Profit/Loss		
	37,000 €		

Exercise 1.3 – Operation #3

- Cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	-3,630	0	-3,630	0	-3,630
VAT indirect impact: at VAT settlement	+630	0	+630	0	+630
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	-3,000	0	-3,000	0	-3,000

Exercise 1.3 – Operation #3

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) =	-3,630 €
Net profit	– 3,000
+ Δ PROV	+ 0
– Δ WCR	– (630 – 3,630 + 3,630) = – 630
+ Depreciation _{FA}	+ 0
Investment CF (CF inv) =	0 €
– Δ (FE + FA)	– 0
– Depreciation _{FA}	– 0
Financing CF (CF fin) =	0 €
Δ CAP	0
+ Δ Debts – Δ Financials credits	+ 0
CF op + CF inv + CF fin =	-3,630 €

Exercise 1.3 – Operation #4

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-03-2023	24.0		Furniture and vehicles: Acquisition value	34,095	
	411		VAT: receivable	2,205	
		440	Suppliers		36,300
	440		Suppliers	36,300	
		550.0	Credit institutions: Current account		36,300

- VAT receivable= $35\% \times 21\% \times 30,000 = 2,205$
- Buildings= $30,000 + 30,000 \times 21\% \times 65\% = 34,095$

- BS and IS after operation

BALANCE SHEET			
285,400 €	ASSET	LIABILITY	248,400 €
	FE	CAP	150,000 €
		RS	
		RES	
189,095 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	35,000 €
	INV		
71,235 €	AR	AP	18,400 €
	Acc (A)	Acc(L)	
	INVST		
25,070 €	CASH		

INCOME STATEMENT			
3,000 €	EXPENSES	INCOME	40,000 €
3,000 €	OpExp	OpInc	40,000 €
	EBIT		
	37,000 €		
	FinExp	FinInc	
	EBT		
	37,000 €		
	TAX	TAX	
	Profit/Loss		
	37,000 €		

Exercise 1.3 – Operation #4

- Cash flows

Timing	CF _{op}	CF _{inv}	FCF	CF _{fin}	Δ CASH
	(1)	(2)	(3) = (1) + (2)	(4)	(5) = (3) + (4)
Direct impact: at accounting entry	-2,205	-34,095	-36,300	0	-36,300
VAT indirect impact: at VAT settlement	+2,205	0	+2,205	0	+2,205
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	0	-34,095	-34,095	0	-34,095

Exercise 1.3 – Operation #4

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) =	-2,205 €
Net profit	0
+ Δ PROV	+ 0
– Δ WCR	– (2,205) = – 2,205
+ Depreciation _{FA}	+ 0
Investment CF (CF inv) =	-34,095 €
– Δ (FE + FA)	– 34,095
– Depreciation _{FA}	– 0
Financing CF (CF fin) =	0 €
Δ CAP	0
+ Δ Debts – Δ Financials credits	+ 0
CF op + CF inv + CF fin =	-36,300 €

Exercise 1.3 – Operation #5

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31-03-2023	61		Services and other goods	10,000	
		550.0	Credit institutions: current account		10,000

- BS and IS after operation

BALANCE SHEET			
275,400 €	ASSET	LIABILITY	248,400 €
	FE	CAP	150,000 €
		RS	
		RES	
189,095 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	35,000 €
	INV		
71,235 €	AR	AP	18,400 €
	Acc (A)	Acc(L)	
	INVST		
15,070 €	CASH		

INCOME STATEMENT			
13,000 €	EXPENSES	INCOME	40,000 €
13,000 €	OpExp	OpInc	40,000 €
	EBIT		
	27,000 €		
	FinExp	FinInc	
	EBT		
	27,000 €		
	TAX	TAX	
	Profit/Loss		
	27,000 €		

Exercise 1.3 – Operation #5

- Cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	-10,000	0	-10,000	0	-10,000
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	-10,000	0	-10,000	0	-10,000

Exercise 1.3 – Operation #5

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) = **-10,000 €**

Net profit -10,000

+ Δ PROV + 0

– Δ WCR – 0

+ Depreciation_{FA} + 0

Investment CF (CF inv) = **0 €**

– Δ (FE + FA) – 0

– Depreciation_{FA} – 0

Financing CF (CF fin) = **0 €**

Δ CAP 0

+ Δ Debts – Δ Financials credits + 0

CF op + CF inv + CF fin = **-10,000 €**

Exercise 1.3 – Operation #6

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31-03-2023	451		VAT payable	8,400	
		411	VAT receivable		2,835
		451x	VAT Payable: Creditor current account		5,565
10-04-2023	451x		VAT payable:Creditor current account	5,565	
		550.0	Credit institutions: current account		5,565

- Op. 2:** VAT payable: 8,400
- Op. 3:** VAT receivable: 630
- Op. 4:** VAT receivable: 2,205

- BS and IS after operation

BALANCE SHEET			
267,000 €	ASSET	LIABILITY	240,000 €
	FE	CAP	150,000 €
		RS	
		RES	
189,095 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	35,000 €
	INV		
68,400 €	AR	AP	10,000 €
	Acc (A)	Acc(L)	
	INVST		
9,505 €	CASH		

INCOME STATEMENT			
13,000 €	EXPENSES	INCOME	40,000 €
13,000 €	OpExp	OpInc	40,000 €
	EBIT		
	27,000 €		
	FinExp	FinInc	
	EBT		
	27,000 €		
	TAX	TAX	
	Profit/Loss		
	27,000 €		

Exercise 1.3 – Operation #6

- Cash flows

Timing	CF _{op}	CF _{inv}	FCF	CF _{fin}	Δ CASH
	(1)	(2)	(3) = (1) + (2)	(4)	(5) = (3) + (4)
Direct impact: at accounting entry	-5,565	0	-5,565	0	-5,565
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	-5,565	0	-5,565	0	-5,565

Exercise 1.3 – Vérification Indirect impact– VAT Indirect impact

- The sum of VAT indirect impacts operations #0 to operation #5...

	Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Operation #0	VAT indirect impact: at VAT settlement	0	0	0	0	0
Operation #1	VAT indirect impact: at VAT settlement	0	0	0	0	0
Operation #2	VAT indirect impact: at VAT settlement	-8,400	0	-8,400	0	-8,400
Operation #3	VAT indirect impact: at VAT settlement	+630	0	+630	0	+630
Operation #4	VAT indirect impact: at VAT settlement	+2,205	0	+2,205	0	+2,205
Operation #5	VAT indirect impact: at VAT settlement	0	0	0	0	0

- ... corresponds to indirect impact of Operation #6 (paiement du solde TVA) !

Operation #6	xVAT indirect impact: at VAT settlement	-5,565	0	-5,565	0	-5,565
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Exercise 1.3 – Operation #6

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) =	-5,565 €
Net profit	0
+ Δ PROV	+ 0
– Δ WCR	– (8,400 – 2,835 – 5,565 + 5,565) = – 5,565
+ Depreciation _{FA}	+ 0
Investment CF (CF inv) =	0 €
– Δ (FE + FA)	– 0
– Depreciation _{FA}	– 0
Financing CF (CF fin) =	0 €
Δ CAP	0
+ Δ Debts – Δ Financials credits	+ 0
CF op + CF inv + CF fin =	-5,565 €

Exercise 1.3 – Operation #7

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-06-2023	61		Services and other goods	15,000	
	411		VAT receivable	3,150	
		440	Suppliers		18,150

- BS and IS after operation

BALANCE SHEET			
270,150 €	ASSET	LIABILITY	258,150 €
	FE	CAP	150,000 €
		RS	
		RES	
189,095 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	35,000 €
	INV		
71,550 €	AR	AP	28,150 €
	Acc (A)	Acc(L)	
	INVST		
9,505 €	CASH		

INCOME STATEMENT			
28,000 €	EXPENSES	INCOME	40,000 €
28,000 €	OpExp	OpInc	40,000 €
	EBIT		
	12,000 €		
	FinExp	FinInc	
	EBT		
	12,000 €		
	TAX	TAX	
	Profit/Loss		
	12,000 €		

Exercise 1.3 – Operation #7

- Cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	+3,150	0	+3,150	0	+3,150
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	+3,150	0	+3,150	0	+3,150

Exercise 1.3 – Operation #7

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) =	0 €
Net profit	-15,000
+ Δ PROV	+ 0
– Δ WCR	– (3,150 – 18,150) = +15,000
+ Depreciation _{FA}	+ 0
Investment CF (CF inv) =	0 €
– Δ (FE + FA)	– 0
– Depreciation _{FA}	– 0
Financing CF (CF fin) =	0 €
Δ CAP	0
+ Δ Debts – Δ Financials credits	+ 0
CF op + CF inv + CF fin =	0 €

Exercise 1.3 – Operation #8

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
30-06-2023	411x		VAT receivable: Debtor current account	3,150	
		411	VAT receivable		3,150

- BS and IS after operation

BALANCE SHEET			
270,150 €	ASSET	LIABILITY	258,150 €
	FE	CAP	150,000 €
		RS	
		RES	
189,095 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	35,000 €
	INV		
71,550 €	AR	AP	28,150 €
	Acc (A)	Acc(L)	
	INVST		
9,505 €	CASH		

INCOME STATEMENT			
28,000 €	EXPENSES	INCOME	40,000 €
28,000 €	OpExp	OpInc	40,000 €
	EBIT		
	12,000 €		
	FinExp	FinInc	
	EBT		
	12,000 €		
	TAX	TAX	
	Profit/Loss		
	12,000 €		

Exercise 1.3 – Operation #8

- Livre journal

Date	N° de PCMN		Libellé de PCMN	Montant (€)	
	Débit	Crédit		Débit	Crédit
30-06-2023	411x		TVA à récupérer: Compte courant débiteur	3,150	
		411	TVA à récupérer		3,150

Exercise 1.3 – Operation #8

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) =	0 €
Net profit	0
+ Δ PROV	+ 0
– Δ WCR	– (3,150 – 3,150) = 0
+ Depreciation _{FA}	+ 0
Investment CF (CF inv) =	0 €
– Δ (FE + FA)	– 0
– Depreciation _{FA}	– 0
Financing CF (CF fin) =	0 €
Δ CAP	0
+ Δ Debts – Δ Financials credits	+ 0
CF op + CF inv + CF fin =	0 €

Exercise 1.3 – Operation #9

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-09-2023	400		Customers	29,493.75	
	708		Discounts, rebates and allowances granted	625.00	
		700	Sales and services rendered		25,000.00
		451	VAT payable		5,118.75
	550.0		Credit institution: current account	29,493.75	
		400	Customers		29,493.75

- Discount = $5\% \times 25k \times 50\% = 625$
- VAT payable = $(25k - 625) \times 21\%$

- BS and IS after operation

BALANCE SHEET			
299,643.75 €	ASSET	LIABILITY	263,268.75 €
	FE	CAP	150,000 €
		RS	
		RES	
189,095 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	35,000 €
	INV		
71,550 €	AR	AP	33,268.75 €
	Acc (A)	Acc(L)	
	INVST		
38,998.75 €	CASH		

INCOME STATEMENT			
28,000 €	EXPENSES	INCOME	64,375 €
28,000 €	OpExp	OpInc	64,375 €
	EBIT		
	36,375 €		
	FinExp	FinInc	
	EBT		
	36,375 €		
	TAX	TAX	
	Profit/Loss		
	36,375 €		

Exercise 1.3 – Operation #9

- Cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	+29,493,75	0,00	+29,493,75	0,00	+29,493,75
VAT indirect impact: at VAT settlement	-5,118,75	0,00	-5,118,75	0,00	-5,118,75
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	+24,375,00	0,00	+24,375,00	0,00	+24,375,00

Exercise 1.3 – Operation #9

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) =

+29,493,75 €

Net profit

+ (25,000 – 625) = +24,375

+ Δ PROV

+ 0

– Δ WCR

– (29,493,75 – 5,118,75 – 29,493,75) = +5,118,75

+ Depreciation_{FA}

+ 0

Investment CF (CF inv) =

0 €

– Δ (FE + FA)

– 0

– Depreciation_{FA}

– 0

Financing CF (CF fin) =

0 €

Δ CAP

0

+ Δ Debts – Δ Financials credits

+ 0

CF op + CF inv + CF fin =

+29,493,75 €

Exercise 1.3 – Operation #10

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
30-09-2023	451		VAT payable	5,118.75	
		411x	VAT receivable: Debtor current account		3,150.00
		451x	VAT payable: Creditor current account		1,968.75
20-10-2023	451x		VAT payable: Creditor current account	1,968.75	
		550.0	Credit institution: current account		1,968.75

- July VAT receivable balance: 3,150
- Op. 9: VAT payable: 5,118.75

- BS and IS after operation

BALANCE SHEET			
294,525 €	ASSET	LIABILITY	258,150 €
	FE	CAP	150,000 €
		RS	
		RES	
189,095 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	35,000 €
	INV		
68,400 €	AR	AP	28,150 €
	Acc (A)	Acc(L)	
	INVST		
37,030 €	CASH		

INCOME STATEMENT			
28,000 €	EXPENSES	INCOME	64,375 €
28,000 €	OpExp	OpInc	64,375 €
	EBIT		
	36,375 €		
	FinExp	FinInc	
	EBT		
	36,375 €		
	TAX	TAX	
	Profit/Loss		
	36,375 €		

Exercise 1.3 – Operation #10

- Cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	-1,968,75	0,00	-1,968,75	0,00	-1,968,75
VAT indirect impact: at VAT settlement	0,00	0,00	0,00	0,00	0,00
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax,				
Total impact	-1,968,75	0,00	-1,968,75	0,00	-1,968,75

Exercise 1.3 – Operation #10

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) =	- 1,968,75 €
Net profit	0
+ Δ PROV	+ 0
– Δ WCR	– (5,118,75 – 3,150 – 1,968,75 + 1,968,75) = -1,968,75
+ Depreciation _{FA}	+ 0
Investment CF (CF inv) =	0 €
– Δ (FE + FA)	– 0
– Depreciation _{FA}	– 0
Financing CF (CF fin) =	0 €
Δ CAP	0
+ Δ Debts – Δ Financials credits	+ 0
CF op + CF inv + CF fin =	-1,968,75 €

Exercise 1.3 – Operation #11

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-11-2023	61		Services and other goods	15,000	
	411		VAT receivable	3,150	
		440	Suppliers		18,150
	440		Suppliers	36,300	
		550.0	Credit institution: current account		36,300

- BS and IS after operation

BALANCE SHEET			
261,375 €	ASSET	LIABILITY	240,000 €
	FE	CAP	150,000 €
		RS	
		RES	
189,095 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	35,000 €
	INV		
71,550 €	AR	AP	10,000 €
	Acc (A)	Acc(L)	
	INVST		
730 €	CASH		

INCOME STATEMENT			
43,000 €	EXPENSES	INCOME	64,375 €
43,000 €	OpExp	OpInc	64,375 €
	EBIT		
	21,375 €		
	FinExp	FinInc	
	EBT		
	21,375 €		
	TAX	TAX	
	Profit/Loss		
	21,375 €		

Exercise 1,3 – operation #11

- Cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	-36,300	0	-36,300	0	-36,300
VAT indirect impact: at VAT settlement	+3,150	0	+3,150	0	+3,150
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	-33,150	0	-33,150	0	-33,150

Exercise 1.3 – Operation #11

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) =	-36,300 €
Net profit	-15,000
+ Δ PROV	+ 0
– Δ WCR	– (3,150 – 18,150 + 36,300) = -21,300
+ Depreciation _{FA}	+ 0
Investment CF (CF inv) =	0 €
– Δ (FE + FA)	– 0
– Depreciation _{FA}	– 0
Financing CF (CF fin) =	0 €
Δ CAP	0
+ Δ Debts – Δ Financials credits	+ 0
CF op + CF inv + CF fin =	-36,300 €

Exercise 1.3 – Operation #12

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
15-11-2023	400		Customers	30,250	
		700	Sales and services rendered		25,000
		451	VAT payable		5,250
	550.0		Credit institutions: current account	30,250	
		400	Customers		30,250

- BS and IS after operation

BALANCE SHEET			
291,625 €	ASSET	LIABILITY	245,250 €
	FE	CAP	150,000 €
		RS	
		RES	
189,095 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	35,000 €
	INV		
71,550 €	AR	AP	15,250 €
	Acc (A)	Acc (L)	
	INVST		
30,980 €	CASH		

INCOME STATEMENT			
43,000 €	EXPENSES	INCOME	89,375 €
43,000 €	OpExp	OpInc	89,375 €
	EBIT		
	46,375 €		
	FinExp	FinInc	
	EBT		
	46,375 €		
	TAX	TAX	
	Profit/Loss		
	46,375 €		

Exercise 1.3 – Operation #12

- Cash flows

Timing	CF _{op}	CF _{inv}	FCF	CF _{fin}	Δ CASH
	(1)	(2)	(3) = (1) + (2)	(4)	(5) = (3) + (4)
Direct impact: at accounting entry	+30,250	0	+30,250	0	+30,250
VAT indirect impact: at VAT settlement	-5,250	0	-5,250	0	-5,250
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	+25,000	0	+25,000	0	+25,000

Exercise 1.3 – Operation #12

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) =	+30,250 €
Net profit	+25,000
+ Δ PROV	+ 0
– Δ WCR	– (30,250 – 5,250 – 30,250) = +5,250
+ Depreciation _{FA}	+ 0
Investment CF (CF inv) =	0 €
– Δ (FE + FA)	– 0
– Depreciation _{FA}	– 0
Financing CF (CF fin) =	0 €
Δ CAP	0
+ Δ Debts – Δ Financials credits	+ 0
CF op + CF inv + CF fin =	+30,250 €

Exercise 1.3 – Operation #13

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-12-2023	24,0		Furniture and vehicles : Acquisition value	20,000	
	411		VAT receivable	4,200	
		440	Suppliers		24,200
	440		Suppliers	24,200	
		173	Credit institution: Current account payable		24,200

- BS and IS after operation

BALANCE SHEET			
315,825 €	ASSET	LIABILITY	269,450 €
	FE	CAP	150,000 €
		RS	
		RES	
209,095 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	59,200 €
	INV		
75.750 €	AR	AP	15,250 €
	Acc (A)	Acc(L)	
	INVST		
30,980 €	CASH		

INCOME STATEMENT			
43,000 €	EXPENSES	INCOME	89,375 €
43,000 €	OpExp	OpInc	89,375 €
	EBIT		
	46,375 €		
	FinExp	FinInc	
	EBT		
	46,375 €		
	TAX	TAX	
	Profit/Loss		
	46,375 €		

Exercise 1.3 – Operation #13

- Cash flows

Timing	CF _{op}	CF _{inv}	FCF	CF _{fin}	Δ CASH
	(1)	(2)	(3) = (1) + (2)	(4)	(5) = (3) + (4)
Direct impact: at accounting entry	-4,200	-20,000	-24,200	+24,200	0
VAT indirect impact: at VAT settlement	+4,200	0	+4,200	0	+4,200
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	0	-20,000	-20,000	+24,200	+4,200

Exercise 1.3 – Operation #13

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) = **- 4,200 €**

Net profit 0

+ Δ PROV + 0

– Δ WCR – 4,200

+ Depreciation_{FA} + 0

Investment CF (CF inv) = **-20,000 €**

– Δ (FE + FA) – 20,000

– Depreciation_{FA} – 0

Financing CF (CF fin) = **+24,200 €**

Δ CAP 0

+ Δ Debts – Δ Financials credits + 24,200

CF op + CF inv + CF fin = **0 €**

Exercise 1.3 – Operation #14

- Journal Entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31-12-2023	6500		Interest, commissions, and fees related to debts	700.00	
		550.0	Credit institution: current account		700.00
31-12-2023	451		VAT payable	5,250.00	
	411x		VAT receivable: Debtor current account	2,100.00	
		411	VAT receivable		7,350.00
31-12-2023	6302		Depreciation allowances on tangible fixed assets	10,000.00	
		221.9	Buildings: Accumulated depreciation		10,000.00
31-12-2023	6302		Depreciation allowances on tangible fixed assets	5,682.50	
		24.9	Furniture and vehicles: Accumulated depreciation		5,682.50
31-12-2023	6302		Depreciation allowances on tangible fixed assets	333.33	
		24.9	Furniture and vehicles: Accumulated depreciation		333.33

- BS and IS after operation

BALANCE SHEET			
293,859.17€	ASSET	LIABILITY	264,200 €
	FE	CAP	150,000 €
		RS	
		RES	
193,079.17€	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	59,200 €
	INV		
70,500 €	AR	AP	10,000 €
	Acc (A)	Acc(L)	
	INVST		
30,280 €	CASH		

INCOME STATEMENT			
59,715.83 €	EXPENSES	INCOME	89,375 €
59,015.83 €	OpExp	OpInc	89,375 €
	EBIT		
	30,359.17 €		
700 €	FinExp	FinInc	
	EBT		
	29,659.17 €		
	TAX	TAX	
	Profit/Loss		
	29,659.17 €		

Exercise 1.3 – Operation #14

- Cash flows

Timing	CF _{op}	CF _{inv}	FCF	CF _{fin}	Δ CASH
	(1)	(2)	(3) = (1) + (2)	(4)	(5) = (3) + (4)
Direct impact: at accounting entry	-700,00	0,00	-700,00	0,00	-700,00
VAT indirect impact: at VAT settlement	0,00	0,00	0,00	0,00	0,00
Corporate tax indirect impact: at corporate tax settlement	By assumption, there is no corporate tax				
Total impact	-700,00	0,00	-700,00	0,00	-700,00

Exercise 1.3 – Operation #14

- Cash flows (indirect method), based on simplified *Cash Flow Statement* :

Operating CF (CF op) =

- 700 €

Net profit

$-700 - 10,000 - 5,682,50 - 333,33 = -16,715,33$

+ Δ PROV

+ 0

- Δ WCR

$-(5,250 + 2,100 - 7,350) = 0$

+ Depreciation_{FA}

$+ 10,000 + 5,682,50 + 333,33 = +16,015,33$

Investment CF (CF inv) =

0 €

- Δ (FE + FA)

$- (-10,000 - 5,682,50 - 333,33) = +16,015,33$

- Depreciation_{FA}

$-(10,000 + 5,682,50 + 333,33) = -16,015,33$

Financing CF (CF fin) =

0 €

Δ CAP

0

+ Δ Debts - Δ Financials credits

+ 0

CF op + CF inv + CF fin =

-700 €

Exercise 2.5 – 1) Direct method - TOTAL

Timing	(1) CF _{exp}	(2) CF _{inv}	(1)+(2) FCF	(3) CF _{fin}	(1)+(2)+(3) Δ CASH
operation #0	0 €	0 €	0 €	0 €	0 €
operation #1	0 €	0 €	0 €	+35,000 €	+35,000 €
operation #2	0 €	0 €	0 €	0 €	0 €
operation #3	-3,630 €	0 €	-3,630 €	0 €	-3,630 €
operation #4	-2,205 €	-34,095 €	-36,300 €	0 €	-36,300 €
operation #5	-10,000 €	0 €	-10,000 €	0 €	-10,000 €
operation #6	-5,565 €	0 €	-5,565 €	0 €	-5,565 €
operation #7	0 €	0 €	0 €	0 €	0 €
operation #8	0 €	0 €	0 €	0 €	0 €
operation #9	+29,493,75 €	0,00 €	+29,493,75 €	0,00 €	+29,493,75 €
operation #10	-1,968,75 €	0,00 €	-1,968,75 €	0,00 €	-1,968,75 €
operation #11	-36,300 €	0 €	-36,300 €	0 €	-36,300 €
operation #12	+30,250 €	0 €	+30,250 €	0 €	+30,250 €
operation #13	0 €	-20,000 €	-24,200 €	+24,200 €	+0 €
operation #14	-700 €	0 €	-700 €	0 €	-700 €
TOTAL SUR L'ANNEE	-4,825 €	-54,095 €	-58,920 €	59,200 €	280 €

- Balance sheets BoY and EoY

BALANCE SHEET			
205,000 €	ASSET	LIABILITY	205,000 €
	FE	CAP	150,000 €
		RS	
		RES	
155,000 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	
	INV		
20,000 €	AR	AP	10,000 €
	Acc (A)	Acc(L)	
	INVST		
30,000 €	CASH		

BALANCE SHEET			
293,859,17€	ASSET	LIABILITY	264,200 €
	FE	CAP	150,000 €
		RS	
		RES	
193,079,17€	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	59,200 €
	INV		
70,500 €	AR	AP	10,000 €
	Acc (A)	Acc(L)	
	INVST		
30,280 €	CASH		

Exercise 2.5 – Dat BoY and EoY

BS - 01/01/2023			
205,000 €	ASSET	LIABILITY	205,000 €
	FE	CAP	150,000 €
		RS	
		RES	
155,000 €	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	
	INV		
20,000 €	AR	AP	10,000 €
	Acc (A)	Acc(L)	
	INVST		
30,000 €	CASH		

BS - 31/12/2023			
293,859,17€	ASSET	LIABILITY	264,200 €
	FE	CAP	150,000 €
		RS	
		RES	
193,079,17€	FA	RE	45,000 €
		SUBS	
		PRDT	
	FinA	LTD	59,200 €
	INV		
70,500 €	AR	AP	10,000 €
	Acc (A)	Acc(L)	
	INVST		
30,280 €	CASH		

INCOME STATEMENT			
59,715.83 €	EXPENSES	INCOME	89,375 €
59,015.83 €	OpExp	OpInc	89,375 €
	EBIT		
	30,359.17 €		
700 €	FinExp	FinInc	
	EBT		
	29,659.17 €		
	TAX	TAX	
	Profit/Loss		
	29,659.17 €		

- With depreciations = 16,015,83 €

Exercise 2.5 – 2) WCR

- **$WCR = INV + AR - AP + Acc(A) - Acc(L)$**
- 01/01/2023 : $WCR = 0 + 20,000 - 10,000 + 0 - 0 = 10,000 \text{ €}$
- 31/12/2023 : $WCR = 0 + 70,500 - 10,000 + 0 - 0 = 60,500 \text{ €}$
- Delta of WCR over the period : $\Delta WCR = 60,500 - 10,000 = 50,500 \text{ €}$
- Increase of WCR $\rightarrow$ negative impact on operating cash flow

Exercise 2,5 – 3) CF statement (indirect method)

Operating CF (CF op) =	- 4,825€
Net profit	29,659,17
+ Δ PROV	+ 0
- Δ WCR	- 50,500
+ Depreciation _{FA}	+ 16,015,83

Investment CF (CF inv) =	- 54,095 €
- Δ (FE + FA)	- 38,079,17
- Depreciation _{FA}	- 16,015,83

Financing CF (CF fin) =	+ 59,200 €
Δ CAP	0
+ Δ Debts - Δ Financials credits	+ 59,200

CF op + CF inv + CF fin =	+280€
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Exercise 2.5 – 4) CF verification

- **CF op + CF inv + CF fin = Δ CASH**
- CF op + CF inv + CF fin = 280 € (cf CF statement)
- $\Delta \text{ CASH} = \text{CASH (31/12/2023)} - \text{CASH (01/01/2023)} = 30,280 - 30,000 = 280 \text{ € (cf BS BoY and EoY)}$
- OK